

ASCII MASTER FLOW – PANEL 1/9: Democratic audit purpose and the Constitution-to-report accountability chain

ROOT QUESTION

How does the legislature verify executive use of public money?

AUTHORITY CHAIN

legislature authorises tax and appropriation

- > executive collects, spends and keeps records
- > independent CAG audits evidence
- > President/Governor causes report to be laid
- > PAC/CoPU or legislature scrutinises
- > executive replies and corrects.

SOURCE LADDER

Articles 148-151 -> CAG DPC Act, 1971

-> entity-specific law -> Audit Regulations/Standards -> judicial interpretation.

LIMIT

audit informs democratic control; it does not govern, prosecute or recover by itself.

ASCII MASTER FLOW – PANEL 2/9: Article 148 office: appointment, oath, tenure, removal and independence

APPOINTMENT

President by warrant under hand and seal.

OATH

before President or nominee in Third Schedule form.

TENURE: DPC ACT, SECTION 4

six years or age 65, whichever earlier; resignation addressed to President.

REMOVAL

same manner and grounds as a Supreme Court Judge

-> proved misbehaviour or incapacity + special-majority address.

INDEPENDENCE SAFEGUARDS

service conditions not varied to disadvantage

| no further Union/State government office

| IAAD administration after consultation

| office expenses charged on Consolidated Fund of India.

LIMIT

appointment has no constitutional collegium and post-audit impact depends on follow-up.

ASCII MASTER FLOW – PANEL 3/9: Articles 149-151, the DPC Act and the audit-versus-accounts boundary

ARTICLE 149

constitutional gateway -> Parliament prescribes duties and powers.

ARTICLE 150

President prescribes form of Union/State accounts on CAG advice.

ARTICLE 151

Union report -> President -> both Houses.

State report -> Governor -> State legislature.

DPC ACT, 1971

Sections 10-12 accounts role where retained

- | 13-18 audit and access

- | 19-20 companies/corporations/entrusted audits

- | 23-24 regulations and scope.

AUDITOR, NOT UNIVERSAL COMPTROLLER

predominantly ex-post review; no routine pre-authorisation of each withdrawal.

ACCOUNTS LIMIT

departmentalisation and State arrangements mean CAG does not compile every account.

ASCII MASTER FLOW – PANEL 4/9: Audit domain: public funds, expenditure, receipts, grants and access

PUBLIC ACCOUNT DOMAINS

Consolidated Fund -> authorised revenue/expenditure.

Contingency Fund -> urgent advances under law.

Public Account -> provident funds, small savings and other trust-like receipts.

DPC ACT ROUTES

Section 13 expenditure | Section 14 substantially financed bodies

| Section 15 grants/loans | Section 16 receipts

| Section 17 stores/stock | Section 18 records, inspection and information.

JURISDICTION TEST

identify entity -> identify public-money/revenue nexus

-> identify statutory route -> define scope -> obtain records -> audit evidence.

LIMIT

public importance alone does not create jurisdiction; legal nexus and proportionate scope matter.

ASCII MASTER FLOW – PANEL 5/9: Financial, compliance, propriety, performance, environment and IT audit

FINANCIAL AUDIT

fair presentation and sufficient appropriate evidence.

COMPLIANCE AUDIT

law, rule, sanction, contract and authority.

PROPRIETY AUDIT

wisdom, faithfulness, economy and avoidance of waste or improper discretion.

PERFORMANCE AUDIT

economy -> efficiency -> effectiveness.

RECEIPTS AUDIT

assessment, collection and proper allocation of public revenue.

IT / ENVIRONMENT / THEMATIC AUDIT

specialised subject or method within the wider mandate.

POLICY BOUNDARY

CAG may test authority, design implementation, prudence and results;

it should not substitute its preferred lawful policy merely because another choice was possible.

ASCII MASTER FLOW – PANEL 6/9: Companies, corporations, PPPs, regulators and local-body audit routes

GOVERNMENT COMPANY

CAG appoints statutory auditor under Companies Act Section 139

-> directions under Section 143(5)

-> supplementary audit/comments/test audit under Sections 143(6)-(7).

STATUTORY CORPORATION

governing law + DPC Act Section 19 route.

OTHER BODY / PPP / REGULATED ENTITY

Sections 14, 15, 16 or 20 only where legal public-finance nexus exists.

LOCAL BODIES

State law and entrustment vary; CAG may provide Technical Guidance and Support.

This is not one uniform constitutional municipal/Panchayat audit model.

Association of Unified Telecom Service Providers of India v. Union of India (2014)

audit may follow Union revenue share from a public-resource licence;

it is not universal private-company audit power.

ASCII MASTER FLOW – PANEL 7/9: Report laying, PAC and CoPU: converting audit information into accountability

UNION CHAIN

CAG report -> President -> laid before Parliament
-> PAC / CoPU / relevant committee -> ministry evidence
-> committee finding -> action-taken response -> correction.

STATE CHAIN

CAG report -> Governor -> State legislature -> State PAC/committee scrutiny.

PAC

appropriation accounts + finance accounts + relevant CAG reports.

COPU

public-undertaking reports/accounts + related CAG reports.

CAG ROLE

technical evidence and assistance; not committee member or final political decision-maker.

LIMIT

CAG paragraph != PAC conclusion != court judgment != automatic recovery order.

ASCII MASTER FLOW – PANEL 8/9: Judicial controls: performance, timing, report status and revenue-share access

~~Arvind Gupta (2012)~~

performance audit and the three Es are in-built in the DPC Act.

S. Subramaniam Balaji (2013)

CAG examines legality, validity and propriety after expenditure.

Arun Kumar Agrawal (2013)

CAG report deserves respect but remains subject to legislative/PAC scrutiny;
it does not automatically prove the final basis for judicial relief.

Association of Unified Telecom Service Providers of India v. Union of India (2014)

revenue-share audit access follows the public-resource and Consolidated-Fund nexus.

SYNTHESIS

broad audit methods + ex-post timing + evidentiary public report

-> no automatic adjudicatory finality.

ASCII MASTER FLOW – PANEL 9/9: CAG-CGA-Finance Commission-PAC comparison, reform and answer synthesis

CAG

constitutional independent audit and legislative reporting.

CGA

executive accounting and financial-information system for Union civil ministries.

FINANCE COMMISSION

Article 280 transfer recommendations; CAG certifies net proceeds under Article 279.

PAC / COPU

legislative scrutiny; committees make parliamentary findings and seek action.

REFORM

secure data access + audit-ready digital systems + risk analytics

-> PPP/regulator clarity + stronger local audit + timely reports

-> action-taken tracking + legislative research capacity.

PRELIMS FIREWALL

Article 148 office | 149 statutory duties | 150 President on CAG advice
| 151 report route | six years/65 from DPC Act | audit != investigation.

MAINS SPINE

independence -> legal mandate -> audit type/entity route -> report chain

-> limitation -> digital/access reform -> evidence-led accountability verdict.